

What will tomorrow bring?

Just like every other aspect of life, all economic activity involves uncertainty and risk. If you buy tickets for a music festival, for example, you may have to book them months in advance, and you cannot be certain that the band you want to see will be performing, and there is a risk that the weather may be so bad that the festival is canceled. Businesses have to make similar decisions when they are planning for the future. In economics, there is a difference between risk and uncertainty. There are some things that can't be predicted, especially when we look a long way into the future, such as what kinds of technological advances will be made five years from now, or a disease may appear that completely destroys this year's coffee crop. The future is uncertain, and we can't know how that uncertainty will affect decisions we make today.

Low risk, high risk

But there are things we can predict with some confidence, especially in the near future. For example, if a café has some regular customers, and the numbers have steadily increased, they will probably keep increasing for the foreseeable future. And a company making winter clothes knows that sales every year have started to pick up at the end of the summer, so they are likely to increase again this year. The risk of something different happening in both cases is low. But a business's plans may involve a high level of risk. A company may decide, for example, on the high-risk idea of producing a range of raincoats in the spring, despite forecasts of a warm, dry summer. If the weather turns out to be as predicted, the company will have lost money it could have made selling swimwear, but if it turns out to be wet all summer, they will be the only suppliers of suitable clothes and will make much more money. So, when businesses are planning to launch a product, or to buy supplies for the next season, they look at trends in the market to assess how much risk they are taking. Similarly, investors in businesses will also examine a company's record, whether its sales have been increasing, and prices rising, in order to see whether to buy shares in it or not.